

Factors influencing Beliefs on State Intervention

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Question

How does local development influence beliefs about State intervention in economic and non-economic affairs?

Context

The literature provides several explanations for how economic conditions affect voting. Powell and Whitten content that analyses on "economic voting" show only "weak and inconsistent economic effects". They argue that "considerations of the ideological image of the government, its electoral base, and the clarity of its **political responsibility** are essential to understanding the effects of economic conditions on voting for or against incumbents." (Powell and Whitten, 1993)

Chatterjee attributes the failure of 2009 electricity policies to a **lack of accountability** due to (1) ambiguity in federalism (2) blame on 'exogenous' factors (3) bureaucratic distance between officials and citizens. (Chatterjee, 2012)

Within U.P., Aklin et. al. find that people's preference for government intervention has a negative effect on satisfaction levels with government policies, and that people who blame the government for policy failures are less likely to take a political candidate's energy policies into account when voting. (Aklin et. al., 2015)

Conversely, Ray and Varghese find that voters can identify who to credit for development, and this reflects in voting patterns in multi-level elections. They claim that differing outcomes in tiered elections indicate satisfaction with relative economic conditions.

Common thread: Perceived accountability and prior beliefs affect voting.

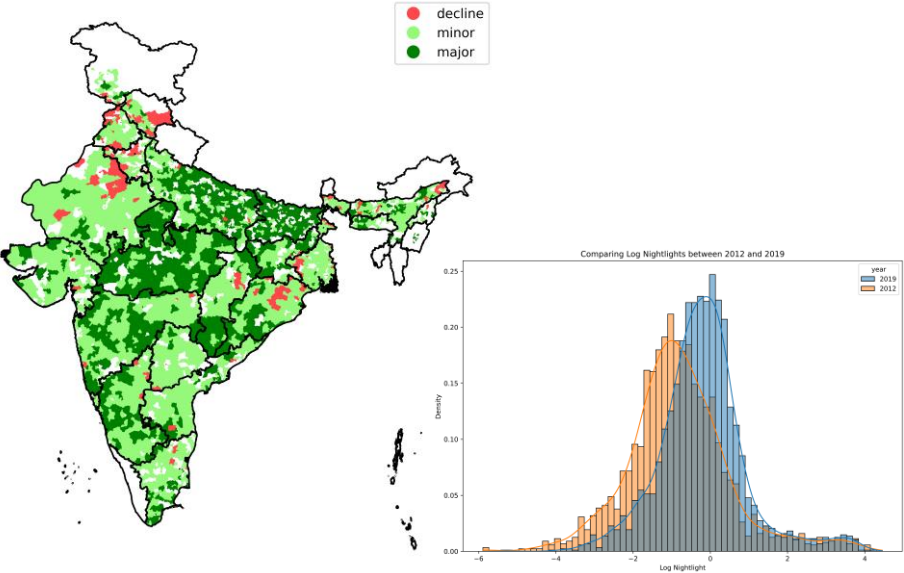
Hypothesis

- Hypothesis 1:** The more people interact with the government the more likely they are to support state intervention overall.
- Hypothesis 2:** Satisfaction with the government primarily influences pro-intervention beliefs across the economy, caste and religion.
- Hypothesis 3:** Local development in an assembly constituency determines pro-intervention beliefs

Data

- Lokniti NES Data from 2009, 2019
- VIIRS Nightlights (2012, 2019) from SHRUG

Development between 2012 and 2019
(measured by Log Nightlights)



Variables

Independent	Log nightlights (2009), Diff. in Nightlights (2019-2009)	
Dependent	Pro-intervention in the economy Pro-intervention in caste & religion (sample Qs below)	
Controls	Gov. Related	Received benefits, credits central gov., satisfaction with gov.
	Demographic	Caste, Religion, Assets Owned

Justification: Informed by the literature review, we include demographics and satisfaction with the current government. Receiving benefits and accrediting them to the central government creates a positive view of the government's actions, making respondents more likely to support future actions that could potentially benefit them even more. Positive interactions with political parties via party contact can also influence beliefs. Controlling for asset ownership ensures mitigates class as a confounder.

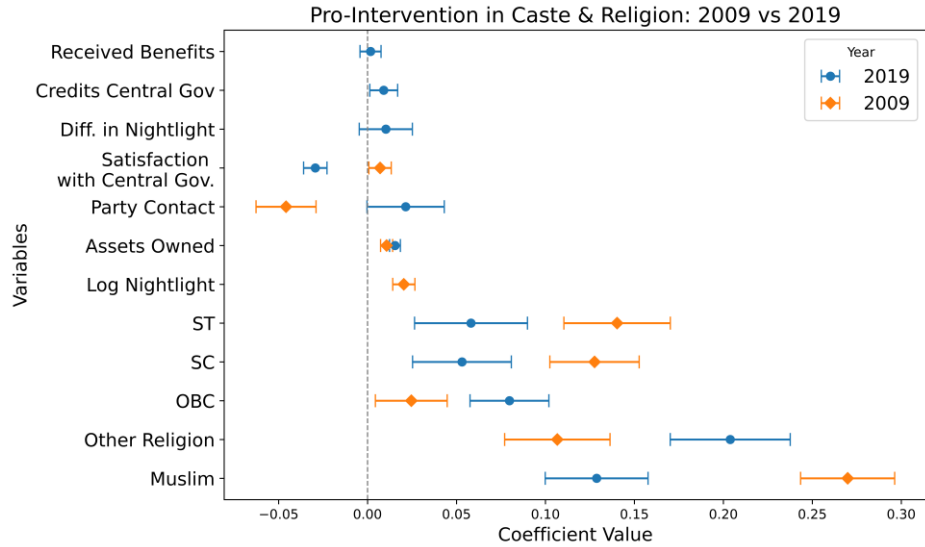
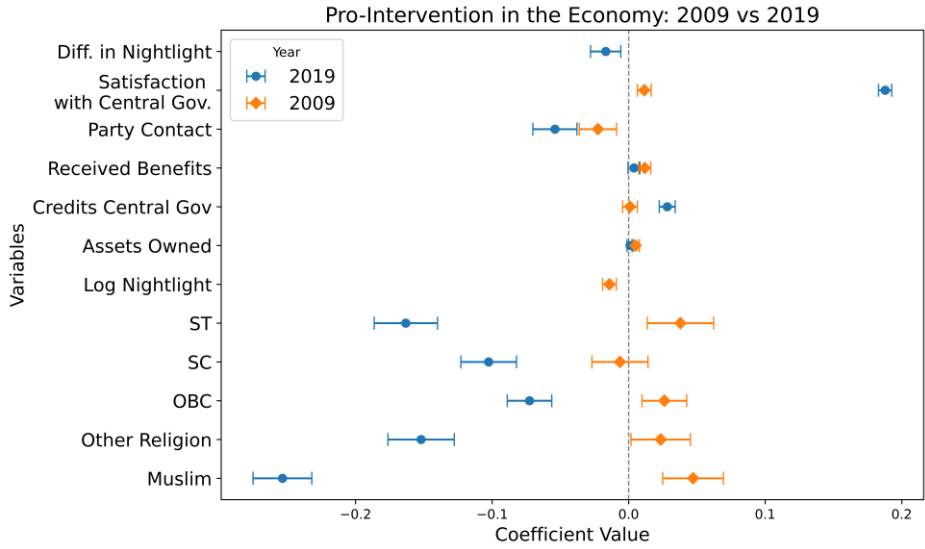
QNo.	Question [Agree / Disagree, rescaled so that ↑ = supports intervention]
Pro-intervention in the Economy (2009=orange, 2019=blue)	
q26e	The government factories and businesses should be sold/handed over to private companies
q27	Some people say that the government should pass legislation so that people are not allowed to own and possess a large amount of land and property
B14	Recent decision by the Central government to provide 10% reservation in government jobs and educational institutions for the economically backward in the unreserved category?
Q27	In your opinion, was the demonetization decision by the Government a necessary decision that benefitted people or an unnecessary one that harmed people?

Pro-intervention in Caste and Religion (2009=orange, 2019=blue)		
a4b	Every community should be allowed to have its own laws to govern marriage and property rights.	
a6a	Reservation for SCs and STs is correct because it is in accordance with the principle of social justice.	
A4d	Giving equal treatment is not enough, the government should give special treatment to minorities	
A7a	Even if it is not liked by the majority, the government must protect the interests of the minorities.	

	Pro-Intervention in		Satisfaction with Centre
	the Economy	Caste & Religion	
Hindu	-0.01	-0.06	0.60
Muslim	0.03	0.21	0.96
Other	0.00	0.14	0.66
Hindu	0.10	-0.06	0.61
Muslim	-0.34	0.10	-0.70
Other	-0.25	0.21	-0.34

Interpretation: Satisfaction with the Central government aligns closely with beliefs about intervention. When the Congress was in power, note how Muslims are more likely to support intervention in caste/religion. In 2019, all of these trends are swapped for Muslims. For Hindus, the values are relatively stagnant despite the change from the Congress to the BJP.

Results



Conclusion

There is truth to each hypothesis. Perceived positive views of ("satisfaction") and relationship with (assigning credit) predict more pro-intervention stances vis-à-vis the economy, particularly in 2019, whereas General Caste, Hindu people are more likely to support State intervention than their counterparts. While development (measured by nightlights) does play a role, it is not as strong a predictor

For intervention in caste and religion, as expected, economic factors play a smaller role, and the respondent's caste and religion better predict pro-intervention preferences.

We validate the role of perceived accountability and prior beliefs in informing pro-intervention stances, as compared to more objective indicators like local development. The degree of polarization is more pronounced, noted by how satisfaction with the Centre becomes more important in 2019 than in 2009 for both pro-intervention indices.

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